

- RAG Learning

3.1 Business Objectives and Strategy

Business — Edexcel (9BS0) — Theme 3: Business decisions and strategy

Theme 3 moves from individual functions to **strategy**: the long-term direction of the whole business. This topic gives you the toolkit used across the rest of the theme — objectives flowing from a mission, the two strategic matrices named in the specification (Ansoff and Porter), portfolio analysis, SWOT, PESTLE and Porter's Five Forces. Examiners are not interested in whether you can draw the matrices; they reward answers that *use* a model to diagnose the business in the extract and then question how far the model can be trusted.

Mission statement — a brief qualitative statement of the business's overall purpose and values, intended to give stakeholders a sense of direction.

Corporate aim — a long-term, usually qualitative, intention of the whole business (e.g. to become the market leader).

Corporate objective — a specific, measurable, time-bound target derived from the aims (e.g. increase UK market share from 12% to 15% by 2028).

Strategy — a long-term plan of action, involving significant resources, designed to achieve corporate objectives.

Tactic — a short-term, lower-risk, easily reversed decision used to carry out part of a strategy.

Portfolio analysis — assessing the range of products or strategic business units a firm owns to decide where to invest, hold or withdraw resources.

Competitive advantage — an advantage over rivals that allows a firm to earn higher returns than the industry average, sustainable if rivals cannot easily copy it.

Distinctive capability — a feature of a business that competitors cannot easily replicate and that gives it competitive advantage.

1. Corporate objectives (3.1.1)

From mission to objectives

Businesses plan in a hierarchy. Each level is narrower, more measurable and shorter-term than the one above, and each level should be consistent with the one above it.

Level	What it is	Example (illustrative supermarket)
Mission / vision	Purpose and values — why the business exists	"To serve shoppers a little better every day"
Corporate aims	Broad long-term intentions	Be the most competitive grocer on price and quality
Corporate objectives	SMART targets for the whole business	Increase market share by 1 percentage point by 2027; ROCE of 12%
Functional objectives	Targets for marketing, operations, finance, HR	Cut labour turnover in stores from 30% to 25%; reduce waste by 20%
Strategies and tactics	How the objectives will be met	Price-match scheme (tactic) within a cost-leadership strategy

Well-known missions: Tesla's is "to accelerate the world's transition to sustainable energy"; Google's is "to organise the world's information and make it universally accessible and useful"; since 2018 Patagonia's has been "We're in business to save our home planet", and in 2022 its founder transferred ownership to a trust and a non-profit so that profits not reinvested fund environmental work — a rare case where a mission visibly changed ownership and financial objectives.

Critical appraisal of mission statements

Benefits	Limitations
Gives employees a common focus and sense of direction, which can aid motivation and decentralised decision-making	Often vague and generic ("delight customers", "be the best") — could apply to any firm, so guides no decision

Communicates values to customers, investors and recruits — can strengthen the brand	May be a public-relations exercise; its value depends entirely on whether behaviour matches it
Provides a test for strategic choices ("does this fit our mission?")	Cannot be measured, so managers cannot be held accountable against it
Helps align objectives across functions and sites	Can become outdated when the market changes; rewriting it is costly and signals uncertainty

The key evaluative point: **a mission statement is only as useful as the culture and objectives underneath it**. Boeing's stated emphasis on safety and quality did not prevent the 737 MAX crashes (2018–19) or the 2024 Alaska Airlines door-plug blow-out, which investigators linked to production and culture failures — a gap between words and behaviour that damaged trust far more than having no statement would have done.

Exam Tip: "Explain one benefit to X of having a mission statement" is a 4-mark question (Knowledge 1, Application 2, Analysis 1). In the 2024 Paper 2 mark scheme, knowledge was a definition or a relevant benefit; application came from facts in the extract; analysis was one developed consequence (e.g. creators understand the firm's values → consistent work → strategic vision achieved). Quote or paraphrase the business's own mission if the extract gives it — that is the easiest application mark on the paper.

2. Theories of corporate strategy (3.1.2)

Ansoff's Matrix

Igor Ansoff (1918–2002) — *Strategies for Diversification* (1957). Growth strategies are classified by whether the product is existing or new and whether the market is existing or new. **Risk rises as the firm moves away from what it knows** — from market penetration towards diversification.

	Existing products	New products
Existing markets	Market penetration (lowest risk) — sell more of the same to the same customers: price cuts, promotion, loyalty schemes. <i>Example:</i> Aldi and Lidl's store-opening programmes and Tesco's Clubcard Prices to win share in UK grocery.	Product development (medium risk) — new products for current customers, using brand and distribution. <i>Example:</i> Greggs' vegan sausage roll (2019) and extended hot food ranges for evening trading.
New markets	Market development (medium risk) — existing products into new segments or countries. <i>Example:</i> Greggs opening in airports, railway stations and drive-thrus; Primark's expansion in the USA.	Diversification (highest risk) — new products in new markets, where the firm has neither product nor market knowledge. <i>Example:</i> Tesco Bank (2008 onwards; banking business largely sold to Barclays in 2024).

Using Ansoff: it clarifies *what kind* of risk a strategy carries and therefore what research, finance and skills it will need. It is quick and easy to communicate to a board.

Limitations: it identifies options but does not say which to choose or how to execute them; it says nothing about competitors' reactions; the boundaries are blurred (is a plant-based version of a product “new”?); and risk is not only a function of the quadrant — a well-researched diversification by a cash-rich firm may be less risky than aggressive market penetration in a saturated market that provokes a price war.

Porter's Strategic Matrix (generic strategies)

Michael Porter (b. 1947) — *Competitive Strategy* (1980) and *Competitive Advantage* (1985). A firm must choose its **source of advantage** (lower cost or differentiation) and its **scope** (broad market or a narrow segment). Firms that try to do everything risk being “stuck in the middle”.

Competitive scope	Lower cost	Differentiation
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Broad (mass market)	Cost leadership — be the lowest-cost producer; charge industry-average prices for higher margins or lower prices for volume. <i>Ryanair, Aldi, Primark.</i>	Differentiation — offer something customers value and will pay a premium for (design, quality, brand, service). <i>Apple, Dyson.</i>
Narrow (segment)	Cost focus — lowest cost within a niche. <i>Poundland-type single-price discounting; budget hostels.</i>	Differentiation focus — premium offer for a niche. <i>Morgan Motor Company, Rolex, Brompton folding bikes.</i>

Stuck in the middle: Wilko (administration, August 2023) and Debenhams (collapsed 2020–21) are commonly cited — not the cheapest, not distinctive, and squeezed by discounters below and online and specialist retailers above.

Limitations: some firms successfully combine low cost and differentiation (IKEA, Toyota's lean quality); cost leadership can only be held by *one* firm in a market; differentiation can be copied; and the model is static, whereas markets change.

Exam Tip: Ansoff answers the question “*where* should we grow?”; Porter answers “*how* will we beat rivals?”. A strong answer often uses both: e.g. Greggs pursues market development (Ansoff) while retaining a cost-focused value positioning (Porter). Do not describe the quadrants in the abstract — place the case-study firm in one and explain the consequence for its costs, prices and risk.

Aim of portfolio analysis

Portfolio analysis helps a firm with several products or divisions decide how to **allocate scarce resources**, balance risk and cash flow, and plan which products to build, maintain, harvest or divest. The standard tool is the **Boston Matrix** (studied in Theme 1.3), which plots products by **market share** and **market growth**:

- **Stars** (high share, high growth) — invest to maintain position.
- **Cash cows** (high share, low growth) — milk: generate cash to fund other products.
- **Question marks / problem children** (low share, high growth) — invest selectively or drop.

- **Dogs** (low share, low growth) — consider divestment unless they support other products.

At corporate level, portfolio decisions include demergers and disposals. Kellogg split into Kellanova (snacks) and WK Kellogg Co (North American cereals) in 2023, and Unilever announced in 2024 that it would separate its slower-growing ice-cream business (The Magnum Ice Cream Company) so management could focus on the higher-growth parts of the portfolio. **Limitations:** portfolio tools are a snapshot; market share and growth are only two variables (profitability is ignored); and defining the “market” can change which box a product falls in.

Competitive advantage through distinctive capabilities

The idea of distinctive capabilities (associated with the economist John Kay) is that lasting advantage comes from things rivals **cannot easily copy**. Three sources are usually identified:

Capability	Meaning	Example
Architecture	The network of relationships inside the firm and with suppliers and customers	Toyota's supplier relationships; the John Lewis Partnership's employee-owner model
Reputation	Trust built over time that customers use to judge quality they cannot easily assess	Rolls-Royce aero engines; Which? Best Buy brands
Innovation	The ability to develop new products and processes, often protected by patents	Dyson's motor technology; Arm's chip designs licensed worldwide

Strategic assets such as licences, patents or network effects can add further protection. The evaluative question is always **sustainability**: an advantage that can be bought or copied (a price cut, a new store format) will be competed away.

Strategic and tactical decisions and their effect on resources

	Strategic decisions	Tactical decisions
Time frame	Long term	Short to medium term

Made by	Board / senior management	Middle and junior managers
Reversibility	Hard or costly to reverse	Easily reversed
Risk and information	High risk, taken with incomplete information	Lower risk, more routine
Example	Entering the US market; acquiring a rival	A two-week promotion; changing shift patterns

- **Human resources** — a strategy may require recruitment, retraining or redundancy; new skills (e.g. data analysts for a move online); workforce planning; possible resistance to change.
- **Physical resources** — new premises, machinery, IT systems and stock; existing assets may become redundant or need to be sold.
- **Financial resources** — strategy needs significant capital, affecting cash flow, gearing and the opportunity cost of other projects; tactics are usually funded from working capital.

3. SWOT analysis (3.1.3)

	Helpful	Harmful
Internal (the firm controls)	Strengths — brand, patents, skilled staff, low costs, strong cash position	Weaknesses — high gearing, ageing products, poor location, high labour turnover
External (the firm cannot control)	Opportunities — growing markets, new technology, falling interest rates, new trade deals	Threats — new competitors, recession, rising costs, new regulation

SWOT is a **starting point for strategy**: the aim is to use strengths to exploit opportunities, and to reduce weaknesses that expose the firm to threats. The external quadrants are normally filled in using PESTLE and Five Forces analysis.

Worked application — Greggs (2025). S: strong brand, vertically integrated supply chain, over 2,500 shops. W: reliance on the UK market, low-margin products. O: evening trading, delivery

apps, drive-thrus. *T*: rising wage costs (National Living Wage rose to £12.21 an hour and employer National Insurance rose to 15% in April 2025), cost-of-living pressure, competition from supermarkets' meal deals.

Limitations: SWOT is a snapshot that dates quickly; it is subjective (is a large store estate a strength or a weakness?); lists are often unprioritised; and it describes the position without telling the firm what to do.

4. Impact of external influences (3.1.4)

PESTLE

Factor	Examples of influence	Recent illustration
Political	Government policy, trade agreements, stability, tax policy	US tariffs announced in 2025; the UK–US Economic Prosperity Deal (May 2025) setting a 10% tariff on a quota of UK cars
Economic	Interest rates, inflation, exchange rates, unemployment, GDP growth	Bank Rate reached 5.25% in 2023 before cuts from August 2024 — raising then lowering borrowing costs
Social	Demographics, lifestyles, attitudes, tastes	Growth of plant-based eating and weight-loss drugs affecting food demand; ageing population
Technological	Automation, AI, e-commerce, new production methods	Generative AI changing customer service and content production; self-checkouts
Legal	Employment, consumer, competition, health and safety law	Minimum wage increases; the Digital Markets, Competition and Consumers Act 2024
Environmental	Climate change, emissions targets, waste, sustainability expectations	Zero Emission Vehicle mandate for car makers; extended producer responsibility for packaging from 2025

The changing competitive environment

Markets change through new entrants (discounters in grocery, Chinese electric-vehicle makers such as BYD in Europe), technological disruption (streaming replacing DVD and cable; online retail replacing high-street chains), changes in regulation (open banking enabling fintechs such as Monzo and Revolut), mergers that reduce the number of rivals (Vodafone and Three combined in 2025), and globalisation. Firms that fail to anticipate change lose market share; those that react early can turn threats into opportunities.

Porter's Five Forces

Michael Porter — “How Competitive Forces Shape Strategy” (1979). The profitability of an industry depends on five forces. The stronger the forces, the lower the potential profits for firms in that industry.

Force	Strong when...	Example
Threat of new entrants	Low barriers to entry: low capital costs, no economies of scale, weak brand loyalty, easy access to distribution	Coffee shops and takeaway food — low barriers; contrast aircraft manufacturing (Airbus/Boeing duopoly)
Bargaining power of suppliers	Few suppliers, unique inputs, high switching costs for buyers	Nvidia's dominance of AI chips gives it power over data-centre operators
Bargaining power of buyers	Few, large buyers; standardised products; low switching costs; buyers well informed	UK supermarkets' power over farmers and food manufacturers (hence the Groceries Supply Code of Practice)
Threat of substitutes	Close alternatives from outside the industry are available at similar prices	Video calls substituting for business air travel; streaming for cinema

Rivalry among existing competitors	Many similar-sized rivals, slow market growth, high fixed costs, low differentiation, high exit barriers	UK grocery and budget airlines — frequent price competition
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Using the model: it helps a firm judge whether an industry is attractive to enter, and which force to weaken — e.g. building brand loyalty (reducing buyer power and entry threat), vertical integration (reducing supplier power), or merging with a rival (reducing rivalry). **Limitations:** it is a snapshot; it assumes firms compete rather than collaborate (joint ventures, supply partnerships); it underplays the role of government and of complementary products; and digital markets change force strengths quickly.

Exam Tip: For a 10- or 12-mark “Assess” question on an external influence, one factor developed through a full chain of reasoning in context beats a list of all six PESTLE headings. The mark scheme's Level 4 requires “an awareness of competing arguments/factors leading to a supported judgement” — so weigh the influence you have analysed against another (e.g. rising wage costs vs. the firm's pricing power) and say which matters more *for this business* and why.

How Edexcel rewards this topic

Skill	What it looks like here
Knowledge	Accurate definitions; correctly naming the quadrant/force/strategy
Application	Using the extract's data: the firm's products, markets, rivals, figures
Analysis	Chains of reasoning — e.g. diversification → lack of market knowledge → higher chance of failure → financial losses and higher gearing
Evaluation	Judgement: “it depends on...” (the firm's finance, the competition, the time frame, the quality of the research) leading to a supported conclusion. Edexcel mark schemes often illustrate context using MOPS — Market, Objectives, Product, Situation.

Common mistakes

- Confusing aims and objectives — an objective must be measurable.
- Putting external factors under “weaknesses” (e.g. “recession” is a threat, not a weakness).
- Calling Porter's generic strategies “Porter's Five Forces” — they are separate models.
- Assuming diversification is always bad: it spreads risk, and risk depends on resources and research.
- Describing a model without applying it: no application, no analysis marks.

Quick recall

- Mission → aims → corporate objectives (SMART) → functional objectives → strategy → tactics
- Mission statements: focus and values vs vague, unmeasurable, PR
- Ansoff: penetration < product development / market development < diversification (risk)
- Porter's Strategic Matrix: cost leadership, differentiation, cost focus, differentiation focus; beware stuck in the middle
- Portfolio analysis: allocate resources, balance cash flow and risk (Boston Matrix)
- Distinctive capabilities: architecture, reputation, innovation — hard to copy
- Strategic decisions: long-term, costly, hard to reverse — affect human, physical and financial resources
- SWOT: internal S/W, external O/T; PESTLE and Five Forces feed O/T
- Five Forces: entrants, suppliers, buyers, substitutes, rivalry — stronger forces, lower industry profit